

PSBs batting well, but weak on credit

India's **state-owned** banks are **in rude health**, a **considerable** source of satisfaction for GoI that **tamed** a crisis of **dodgy** loans a **decade** earlier by **pouring** capital and arranging **shotgun marriages**. Even more **gratifying** for Nirmala Sitharaman is the fact that public sector banks (PSBs) are growing their market share during an **industry upcycle**. State-owned banks are progressively improving their financial **metrics** through business **expansion** and operational efficiency. Scale alone is not an advantage here, even smaller PSBs are **carving out niches** such as lending to small enterprises. This helps them **tide over** the recent **slowdown** in credit growth better than their private-sector **rivals**.

Indian banks may well be in one of their best **cyclical** phases, except that credit is not **heading** in the direction of industry **at a pace** **policymakers** would like. The **bad loan problem** for PSBs **originated** in their corporate lending book, and much of their **resurgence** **owes** itself to borrowing by households. A private **investment** recovery **has** been delayed and bank lending is not necessarily flowing to the most **productive** parts of the economy. The **pipeline** for investment lending **likewise awaits** a rise in demand. On its part, **credit-fed** consumption makes banks' job of **mobilising** deposits **trickier** as savers **branch out** into alternatives such as equity. Banks are raising money from the market on the strength of their **balance sheets** but need to focus their **energies** on deposits.



PSBs are yet to unlock value in their **subsidiaries**, and GoI is **nudging** them to **scale up** their insurance and **MF ventures**. State-owned banks are expected to **transmit** governance reforms to these ventures as a **precondition**. The process should gain from **heightened** investor interest in public sector stocks on strong government **capex**. This **sets** the **privatisation** debate **in a new light** if PSBs deliver bigger **dividends** to GoI.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **State-owned** (adjective) – Government-owned, public, nationalized, state-run, statutory सरकारी
2. **Be in a rude health** (phrase) – Be in excellent condition, thriving, flourishing, robust, strong अच्छे स्वास्थ्य/स्थिति में होना
3. **Considerable** (adjective) – Significant, substantial, ample, sizeable, notable पर्याप्त
4. **Tame** (verb) – Control, manage, restrain, subdue, curb काबू करना
5. **Dodgy** (adjective) – Risky, unreliable, suspicious, questionable, shady संदिग्ध
6. **Decade** (noun) – Period of Ten years, दशक
7. **Pour** (verb) – Inject, invest, pump in, infuse, channel डालना
8. **Shotgun marriage** (noun) – Forced merger, hurried union, compelled alliance, quick partnership, enforced deal मजबूरन किया गया गठबंधन
9. **Gratify** (verb) – Please, satisfy, delight, fulfill, content संतुष्ट करना
10. **Industry upcycle** (noun) – Growth phase, boom period, expansion phase, upward trend, positive cycle औद्योगिक वृद्धि का चक्र
11. **Metric** (noun) – Measure, indicator, parameter, gauge, benchmark मापदंड
12. **Expansion** (noun) – Growth, enlargement, increase, extension, escalation विस्तार
13. **Carve out niche** (phrase) – Establish a specialty, find a unique space, create a focus area, position distinctly, specialize खास जगह बनाना
14. **Tide over** (phrasal verb) – Overcome, manage, get through, survive, weather पार करना
15. **Slowdown** (noun) – Decline, slump, recession, deceleration, downturn मंदी
16. **Rival** (noun) – Competitor, challenger, opponent, adversary, contender प्रतिद्वंदी
17. **Cyclical** (adjective) – Recurrent, periodic, seasonal, repetitive, fluctuating चक्रीय
18. **Head** (verb) – Move towards, go to, advance, proceed, direct बढ़ना
19. **At a pace** (phrase) – At a speed, with velocity, with rapidity, with momentum, quickly/slowly गति से

20. **Policymaker** (noun) – Decision-maker, strategist, planner, lawmaker, authority
नीति निर्माता
21. **Bad loan** (noun) – Loans from a bank that have not paid interest for more than 90 days
खराब ऋण
22. **Resurgence** (noun) – Revival, comeback, recovery, renewal, re-emergence
पुनरुत्थान
23. **Owe** (verb) – Be indebted, attribute, credit, ascribe, have obligation
श्रेय देना
24. **Productive** (adjective) – Efficient, fruitful, effective, profitable, high-yielding
उत्पादक
25. **Pipeline** (noun) – Stream, channel, supply chain, planned process, flow
योजना या प्रक्रिया की शृंखला
26. **Likewise** (adverb) – Similarly, also, in the same way, correspondingly, equally
उसी तरह
27. **Await** (verb) – Wait for, expect, anticipate, look forward to, stay for
इंतजार करना
28. **Credit-fed** (adjective) – Loan-driven, debt-fueled, borrowing-based, financed by credit, funded through loans
ऋण से पोषित
29. **Mobilise** (verb) – Gather, assemble, organize, collect, rally
जुटाना
30. **Tricky** (adjective) – Difficult, complicated, challenging, awkward, problematic
कठिन
31. **Branch out** (phrasal verb) – Diversify, expand, spread, widen, extend
फैलना
32. **Balance sheet** (noun) – a financial statement that contains details of a company's assets or liabilities at a specific point in time
33. **Energy** (noun) – Effort, drive, vigor, enthusiasm, determination
ऊर्जा
34. **Subsidiary** (noun) – Affiliate, branch, division, secondary company, offshoot
सहायक कंपनी
35. **Nudge** (verb) – Encourage, prompt, push gently, prod, motivate
प्रेरित करना
36. **Scale up** (phrasal verb) – Increase, expand, enlarge, grow, boost
बढ़ाना
37. **MF venture** (noun) – it means a business or project that involves the pooling of funds from multiple investors to be invested in various assets
38. **Transmit** (verb) – Convey, pass on, send, communicate, relay
पहुँचाना
39. **Precondition** (noun) – Requirement, prerequisite, stipulation, essential, necessary condition
पूर्व शर्त

40. **Heightened** (adjective) – Increased, intensified, elevated, amplified, escalated
बढ़ा हुआ

41. **Capex** (noun) – the money an organization or corporate entity spends to buy, maintain, or improve its fixed assets, such as buildings, vehicles, equipment, or land पूंजीगत व्यय

42. **Set something in a new light** (phrase) – Change perspective, reconsider,

reinterpret, see differently, reassess नई दृष्टि से देखना

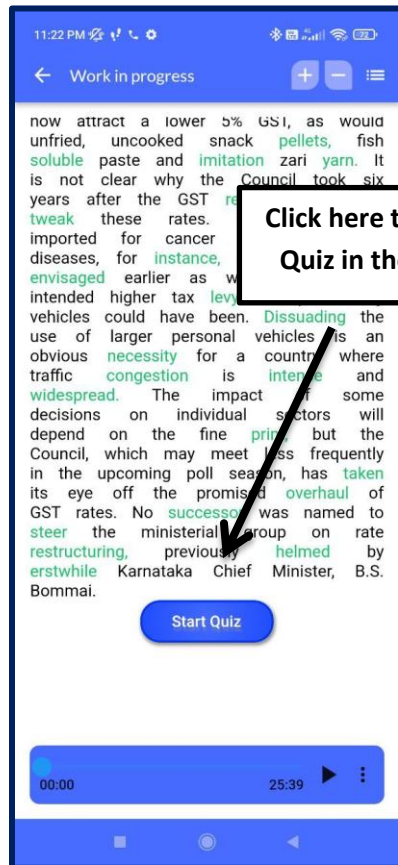
43. **Privatisation** (noun) – Denationalization, private ownership transfer, commercialization, liberalization, selling government assets निजीकरण

44. **Dividend** (noun) – Profit share, return, earnings distribution, payout, benefit लाभांश

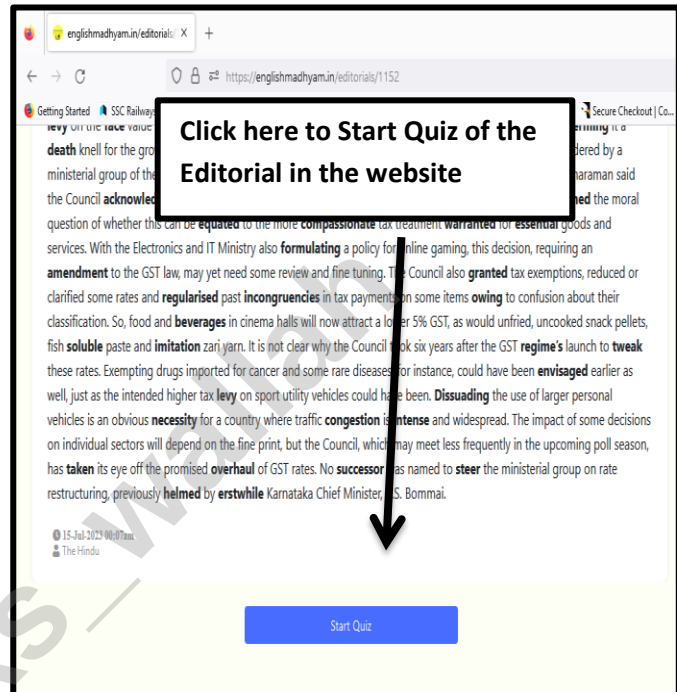
Summary of the Editorial

1. **Strong Financial Health** – India's state-owned banks (PSBs) are in robust condition, providing satisfaction to the government.
2. **Past Crisis Resolved** – A decade ago, the government resolved a crisis of bad loans by infusing capital and merging weak banks.
3. **Market Share Gains** – PSBs are increasing their market share during the current banking industry upcycle.
4. **Operational Efficiency** – Financial improvements are driven by business growth and better operational practices.
5. **Small PSBs' Niche Strategy** – Even smaller PSBs are finding success by focusing on lending to small businesses.
6. **Better Resilience** – This niche lending is helping PSBs handle the recent slowdown in credit growth better than private banks.
7. **Credit Misalignment** – Despite good conditions, credit is not flowing sufficiently towards industry, which concerns policymakers.
8. **Household Borrowing Dominance** – The improvement in PSBs' books is mostly due to increased household borrowing, not corporate loans.
9. **Delayed Private Investment** – A recovery in private sector investment is still pending, affecting productive credit flow.
10. **Investment Lending Demand Weak** – Banks await stronger demand for investment-focused lending.
11. **Deposit Mobilisation Challenge** – Rising credit-fueled consumption makes it harder for banks to attract deposits.
12. **Savers' Alternatives** – Savers are turning to options like equity investments, adding to banks' deposit woes.
13. **Market Funding** – Banks are raising funds from capital markets, relying on their stronger balance sheets.
14. **Subsidiary Value Untapped** – PSBs have not yet unlocked full value in their insurance and mutual fund subsidiaries.
15. **Reforms & Dividends** – The government is pushing PSBs to reform and scale subsidiaries, which could strengthen the case for privatisation if higher dividends materialize.

Practice Exercise: Banking Pattern Based



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